

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **The S&P 500's march** to a record this year has propelled price-to-earnings ratios to lofty levels, even if they haven't quite established records themselves. **A1, B9**
- ◆ **Companies with low credit ratings** are feverishly issuing new bonds and loans to capitalize on the appetite for risk that is driving stocks higher. **B1**
- ◆ **Gold prices hit a record** and overseas stocks gained in the first trading action after an appeals court delivered a blow to Trump's tariff policy. **B9**
- ◆ **Nestlé dismissed** Chief Executive Laurent Freixe following an investigation into a romantic relationship with a subordinate that breached the company's code of conduct. **B1**
- ◆ **Unemployment among Black Americans** surged to 7.2%, the highest level since October 2021, when the job market was still recovering from the pandemic. **A3**
- ◆ **The Trump family** notched as much as \$5 billion in paper wealth after its flagship crypto venture opened trading of a new digital currency. **B1**
- ◆ **The U.K. secured a deal** valued at \$13.5 billion to build at least five new warships for the Norwegian navy. **B3**
- ◆ **Warner Bros.-distributed "Weapons"** led the weekend movie box office with \$12.8 million in ticket sales. **B2**
- ◆ **CapVest's deal** to acquire a majority stake in Germany's Stada values the pharmaceutical company at around the equivalent of \$11.7 billion. **B3**
- ◆ **Renault created** a new chief growth officer position and made a series of senior appointments as part of efforts to re-energize itself. **B3**

World- Wide

- ◆ **Trump faces a challenging September** at home and abroad, with negotiations with Congress to avoid a government shutdown looming and progress toward a peace process for the war in Ukraine stalled. **A1**
- ◆ **The leaders of China, Russia and India** held hands at a regional summit and promised to cooperate, a display of unity aimed in part at Trump, who is trying to exercise his will on all three countries. **A7**
- ◆ **A judge blocked** the deportation of Guatemalan children and asked the Trump administration to show the court that the children had been taken off planes. **A6**
- ◆ **The battle over Trump's sweeping global tariffs** will soon put the Supreme Court directly on the spot over a centerpiece of the president's economic agenda. **A4**
- ◆ **New polling found** that the share of Americans who say they have a good chance of improving their standard of living fell to 25%, a low in surveys dating to 1987. **A2**
- ◆ **The Trump administration** suspended visa approvals for nearly all Palestinian passport holders, the latest in a series of steps to bar Palestinians from entering the U.S. **A3**
- ◆ **Israel killed** the spokesman for Hamas's armed wing in an airstrike in Gaza City, Israel's defense minister said, as the military prepares for an offensive there. **A8**
- ◆ **The Houthi rebel movement** in Yemen said its prime minister was killed in an Israeli airstrike in San'a that also killed several cabinet ministers. **A8**

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Afghanistan Earthquake Kills More Than 800



DEVASTATION: A man walked past a damaged house on Monday, a day after a magnitude-6 earthquake struck eastern Afghanistan near the mountainous border with Pakistan, making it difficult for rescue workers to reach victims. **A8**

Shutdown Deadline, Ukraine Weigh on Trump's Fall Agenda

President, Congress face the need to reach agreement on spending before Oct. 1

By NATALIE ANDREWS AND GAVIN BADE

WASHINGTON—President Trump faces a challenging September at home and abroad. An end-of-month deadline will force the president to negotiate with Congress to avoid a government shutdown. While Republicans control the House and Senate, they will need

Democratic votes. Trump's recent clawback of billions of dollars in foreign aid without congressional approval has brewed distrust between lawmakers and the administration. Trump gave the leaders of Russia and Ukraine another deadline to move forward with a peace process—this one in early September—or face possible U.S. retaliation. Progress has stalled since the president's much-watched meeting with Russian President Vladimir Putin in Alaska in August, dimming optimism that an end to the war is in sight. Beyond dealmaking, Trump, a Republican, faces uncer-

tainty about the legality of his tariffs, the main plank of his economic agenda. His authority to take over the Metropolitan Police Department in Washington, D.C. expires this month, and he is looking at deploying the National Guard to more cities across the country in what he says is an effort to address crime. The administration's contentious changes to public-health guidelines are expected to face fresh scrutiny in the coming weeks. Health and Human Services Secretary Robert F. Kennedy Jr. on Thursday is scheduled to testify before the Senate Finance Committee af-

ter the abrupt firing of the head of the Centers for Disease Control and Prevention, which unleashed turmoil inside the agency. Kennedy's much-anticipated report on implementing what he calls his "Make America Healthy Again" agenda, which he said would outline the alleged causes of autism, is expected soon. Congress returns to the Capitol on Tuesday after more than a month away, and lawmakers must immediately begin negotiations on a spending deal to *Please turn to page A4*

◆ **Russia defies Trump, amps up Ukraine attacks..... A18**

Stocks In U.S. Stand At Their Priciest

S&P 500 has never been this expensive, or more centered on fewer companies

By JACK PITCHER

The S&P 500's march to a record this year hasn't come cheap: By some measures, stocks have never been pricier. Investors are now paying more than ever for each dollar of revenue the index's members produce. The benchmark traded at 3.23 times sales on Thursday, a record. Price-to-earnings ratios aren't quite at records—thanks to juicy profit margins at many of the index's most valuable companies—but they still sit at the extreme end of history. The S&P 500 currently trades at 22.5 times its projected earnings over the next 12 months, compared with the average of 16.8 times since 2000. Many investors say the biggest U.S. stocks, most of which are technology companies, are worth every penny. Companies such as Nvidia and Microsoft are still boosting sales and profits at a rapid pace, and they have come to dominate the market. The 10 largest companies in the S&P 500 accounted for 39.5% of its total value at the end of July, the most ever, according to Morningstar. Nine have a market capitalization above \$1 trillion. "I'm not so worried about that in and of itself," said Steve Sosnick, chief strategist at Interactive Brokers. "The big question is what can happen if the situation changes." Investors caught a glimpse *Please turn to page A2*

◆ **Heard on the Street: Tracking power players... B9**

American Businesses Find One Tariff List To Embrace

By RUTH SIMON

Greg Owens, chairman of Sherrill Manufacturing, was at home skimming through emails on a recent Friday when he got a text message that made him stand up from his chair and raise his arms in triumph. As co-founder of Sherrill, which bills itself as America's last manufacturer of stainless-steel flatware, Owens had been fighting for years to keep his business afloat in a market flooded with cheaper imports. Now, he felt like Sherrill stood a fighting chance. The text in question said imported stainless-steel flatware products would be hit with 50% tariffs on their steel content. This was the news for which Owens had been waiting. "It's been a moment of 'Wow,'" Owens said. "It's been so much work and so long to get some of these victories." The Trump administration's tariff policies are creating headaches, uncertainty and extra costs for scores of U.S. companies, from automakers to clothing importers. But for some companies that rely on American manufacturing—like Sherrill—this new era of tariffs could give them a shot in the arm. On the list released by the *Please turn to page A4*

◆ **How to shop online after de minimis rule ends..... A12**

Osaka Comes Up Aces



RACKET QUEEN: Naomi Osaka cruised to the women's quarterfinal at the U.S. Open in Queens, N.Y., on Monday, defeating fellow American Coco Gauff 6-3, 6-2.

ESPN Employees' Favorite Sport: Lamenting Their Home Base

By ISABELLA SIMONETTI

When ESPN told employees in March it would be closing its Los Angeles "SportsCenter" operation, it gave about 35 staffers a choice: Move to the network's headquarters in Bristol, Conn., or lose your job. Fewer than half accepted. That was fine with ESPN. To work at the world's most storied sports-media company, it's often Bristol or bust. And ESPN isn't going anywhere. "Never," said Jimmy Pitaro, ESPN's chairman. "We've never contemplated relocating and I don't have any plans to relo-

cate. Again, we love it here." Employees have lamented living in the central Connecticut city practically since ESPN was founded in 1979. Decades later, Bristol is often still a punch line. Keith Olbermann, a former anchor, jokingly named it the most "God-forsaken place" on the East Coast during an appearance with former ESPN colleague Craig Kilborn, the first host of the "The Daily Show." Even Bill Rasmussen, ESPN's founder, described its roots sardonically: "They took a dump, put fresh grass over it, and called *Please turn to page A10*

Planned AI Centers Strain Energy Grid

By JENNIFER HILLER

Data centers are desperate to connect to the U.S. electric grid. What remains fuzzy is how many will ultimately be built and how much electricity they will require. U.S. utilities are reporting a sharp upswing in interconnection requests from prospective data centers that will need an extraordinary amount of electricity to power America's artificial-intelligence race. In some cases, the collective requests equal or surpass—by multiples—the existing electricity demand in a utility's entire service region. Take American Electric

Power, a big utility that serves 11 states, and Sempra's Texas utility Oncor. Combined, they have received requests to connect projects, many of them data centers, to the grid requiring almost 400 gigawatts of electricity. That is an astronomical amount that represents more than half the peak electricity demand in the Lower 48 states on two hot days in July. Part of the problem is the electricity needs of the same potential projects are being double, triple or quadruple counted by different utilities. Data-center developers and tech companies are peppering *Please turn to page A6*

China Keeps Tabs On Troubled People

To quell potential unrest, authorities help—and monitor—the dissatisfied

By CHUN HAN WONG AND SHEN LU

A 68-year-old man in China's Zhejiang province barged into a local government office last year and declared he couldn't go on living. His neighbors were bullying him, he claimed, and he threatened to take revenge. The man had previously served a prison term. He was financially strained, estranged from family and had frequent conflicts with neighbors. He was what Chinese authorities

call a "five-loss individual": someone with life setbacks, investment failures, family disputes, mental disorders or "emotional imbalance." Authorities swung into action. A sprawling new Communist Party agency, the Central Society Work Department, arranged a support plan that delayed some of the man's debt repayment deadlines and provided counseling and other benefits. Within weeks, the local society-work office declared on social media that the *Please turn to page A10*